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INTERNSHIP REPORT

ON

Financial Performance Analysis– A study on Tattisar Group Seva Sahakari Sangha Ltd, Melina Onikeri

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CERTIFICATE

This internship report titled **"Financial Performance Analysis – A Study on Tattisar Group Seva Shakthi Sahakari Sangha Ltd. Melina Onikeri"** is a report on a study taken up at the Fiscal Policy Institute (FPI) during 2023-2024.

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All opinions and conclusions expressed in the internship report are of the intern and the usual disclaimer applies.

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Institute's Seal

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ABSTRACT

Financial statements are the end products of financial accounting practices. The two major financial statements are the Profit & Loss Account and the Balance Sheet. Performance analysis is a study of the relationship among various financial facts and figures as given in the set of financial statements. Financial analysis focuses on highlighting the facts and relationships related to managerial performance, business efficiency, financial strengths and weaknesses and the credit worthiness of the society.

The term financial performance analysis includes both analysis and interpretation of the relationships of various elements of the financial statements. The term analysis means simplification of financial data, by methodical classification, given in the financial statements. Interpretation means explaining the significance of the data so simplified. These two are complementary to each other. Analysis is useless without interpretation and interpretation without analysis is difficult to understand.

Financial analysis can be undertaken by the management of the society or by the parties outside the society like owners, trade creditors, lenders, investors, labour unions, analysts and others. The nature of the analysis will differ depending on the purpose of the analyst. Most widely used techniques of financial statements analysis are comparative statements, common size statements, trend analysis, ratio analysis, funds flow analysis and cash flow analysis.

We have used a few of the analysis techniques like common size statements, trend analysis & ratio analysis techniques for the analysis of financial statements of Tattisar Group Seva Sahakari Sangha Ltd, Melina Onikeri to arrive at a conclusion on the basis of performance analysis and interpretation of financial data as observed from the audited financial statements of the society for the period from 2019 to 2023.

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CHAPTER 1

INTRODUCTION

1.1 INTRODUCTION TO THE TOPIC

This Internship report titled "Financial Performance Analysis- a case study on Tattisar Group Seva Sahakari Sangha Limited, Melina Onikeri" – A Primary Agriculture Credit Cooperative Society (PACS) has been brought out to know the organisational structure, objectives and services, financial performance and other details of the society.

Business concerns need finance to meet their requirements in the economic world. Any kind of business activity depends on the finance. Hence, it is called as the lifeblood of business organisation. Whether the business concerns are big or small, they need finance to fulfil their business activities.

Definition of finance: According to the **Oxford Dictionary**, the word 'finance' means 'management of money' i.e. earning, spending, saving and investing money. Thus, everyone – individual, business firm, government – is concerned with finance.

Finance may be defined as the art and science of managing money. It includes financial services and financial instruments. Finance also is referred to as the provision of money at the time when it is needed. Finance function is the procurement of funds and their effective utilisation in business activities. The concept of finance includes capital, funds, money, and amount. But each word is having a unique meaning. Studying and understanding the concept of finance becomes an important part of the business concern. The efficient use of finance depicts the financial performance of the organisation.

1.2 Definition, objective and importance of Financial Management

We are concerned with 'business' finance. Several authors have defined financial management in various ways.

Definition of financial management: According to Ezra Solomon, "Financial Management is concerned with the efficient use of an important economic resource, namely – capital funds. It is the study of problems involved in the use and acquisition of funds."

Objectives of financial management: The financial management is generally concerned with procurement, allocation and control of financial resources of a concern. The objectives can be-

To ensure adequate returns to the shareholders
To ensure optimum funds utilisation.
To ensure safety on investment,
To plan a sound capital structure

Importance of financial management: Finance is the lifeblood of a business organisation. It needs to meet the requirement of the business concern. Each and every business concern must maintain adequate amount of finance for their smooth running of the business concern and also maintain the business carefully to achieve the goal of the concern. The business goal can be

achieved only with the help of effective management of finance. Some of the importance of financial management is as follows:

a) Financial Planning: Financial management helps to determine the financial requirement of the business concern and leads to take up financial planning of the concern. Financial planning is an important part of the business concern, which helps in the promotion of an enterprise.

b) Acquisition of Funds: Financial management involves the acquisition of the required finance to the business concern. Acquiring needed funds plays a major part of the financial management, which involves possible source of finance at a minimum cost.

c) Proper Use of Funds: Proper use and allocation of funds leads to improve the operational efficiency of the business concern. When the finance manager uses the funds properly, they can reduce the cost of capital and increase the value of the firm.

d) Financial Decision: Financial management helps to take sound financial decision in the business concern. Financial decision will affect the entire business operation of the concern because there is a direct relationship with various department functions such as marketing, production personnel, etc.

e) Improve Profitability: Profitability of the concern purely depends on the effectiveness and proper utilisation of funds by the business concern. Financial management helps to improve the profitability position of the concern with the help of strong financial control devices such as budgetary control, ratio analysis and cost volume profit analysis.

f) Increase the Value of the Firm: Financial management is very important in increasing the wealth of the investors and the business concern. The ultimate aim of any business concern is to achieve the maximum profit and higher profitability leads to maximize the wealth of the investors as well as the nation.

g) Promoting Savings: Savings are possible only when the business concern earns higher profitability and maximizes wealth. Effective financial management helps to promoting and mobilising individual and corporate savings.

Nowadays financial management is also popularly known as business finance or corporate finances. The business concern or corporate sectors cannot function without giving importance to financial management.

1.3 Financial Performance Analysis

Financial performance analysis is the process of determining the operating and financial characteristics of a business organisation from accounting and financial statements. The goal of such analysis is to determine the efficiency and performance of its financial management, as reflected in the financial records and reports. The analyst attempts to measure the liquidity, profitability and other indicators that the business is conducted in a rational and normal way; ensuring the shareholders would depend on a cooperative society for all their financial needs.

The term financial performance analysis, also known as analysis and interpretation of financial statements, refers to the process of determining financial strength and weakness of

the society by establishing strategic relationship between the items of profit and loss account, balance sheet and other operative data.

Financial analysts often assess the society's liquidity, solvency, efficiency, profitability, operating efficiency and financial stability in both short-term and long-term. Ratio analysis provides relative measures of the society's performance and can indicate clues to the underlying financial position. For measuring financial position and financial efficiency, appropriate level of financial performance indicators are required with which comparison can be made. Generally liquid ratio, debt-equity ratio, interest coverage ratio, inventory turnover ratio, return on investment ratio and debt to net worth ratio are highly useful in determining financial position and financial performance and the financial stability or otherwise of such management.

The analysis and interpretation of financial statement is essential to bring out the mystery behind the figures in financial statement. Financial statement analysis is an attempt to determine the significance and meaning of the financial statement data so that forecast may be made of the future earnings, ability to pay interest and debt maturities and profitability of sound dividend policy.

1.4 Objective of the study

1. To know the organisational structure of the cooperative society.
2. To know the objective and services provided by the cooperative society.
3. To study the efficiency of the cooperative society regarding procurement and utilisation of financial resources.
4. To measure and compare the financial performance and financial status of the cooperative society.
5. To explain the financial achievement and financial problem faced by primary agricultural cooperative societies.

1.5 Benefits of the study

1) The study provides a review of the objective and the services provided by the cooperative society.
2) The study highlights the financial performance and financial position of the cooperative society for a given period.
3) The report explains the problems involved with the finance of the primary agricultural credit cooperative society.
4) To explain the benefits to the rural economy in general and for the members in particular from the cooperative society.

1.6 Sources of the Data:

Data was collected for the internship work in two ways.

i. Primary data

Primary data is data that is collected or observed by the intern from the first-hand experience. For this work primary data has been collected through personal discussion with the Chief Executive Officer (CEO) and the staff and also by personal observation.

ii. Secondary data

Secondary data is the data that have been collected, recorded and compiled by the society as an annual activity available as published and audited financial statements of the cooperative Society for the past five years and its byelaws. Following Financial Statements are used for the analysis:

1.7 STATEMENTS USED FOR ANALYSIS

i. **Income Statement:** The income statement or profit and loss account is considered as a very useful statement of all financial statements, depicts the expenses incurred on sales and interest on deposits and bank loans and total revenue earned on lending and through trade and the net profit or loss for a particular period. It shows whether the operations of the society resulted in profit or loss at the end of a particular period. That is the statement which shows the financial performance of the society.
ii. **Balance Sheet: The** balance sheet is a statement which shows the financial position of a business as on a particular date. It represents the properties and assets owned by the business and the capital and liabilities against the assets in the form of long and short term liabilities as on the date of the statement.

Following are the important limitations of financial statements:
a) The financial information is historical in nature. It does not reflect the future.
b) It is the outcome of accounting concepts and conventions combined with personal judgment.
c) The statements portray the position in monetary terms. The profit or loss position and the financial position exclude from their purview things which cannot be expressed or recorded in monetary terms.
d) While studying financial statements of different units, the size of the units and the difference in the accounting procedures adopted have to be kept in mind. They may be reflected in the financial statements and one has to enquire into them before analysing the statements to the extent possible.

1.8 Limitations of the internship work

a) Accuracy of this internship report is limited because of factors like limitation of time and collection of primary data

b) The second limitation comes from price level variation caused by inflation.

c) As the financial statements are prepared on the basis of the Going Concern Concept, it does not give the exact position. Thus accounting concept and conventions cause serious limitations to financial analysis.
The study is extended to analyse the financial statements of the society for analysing the solvency, liquidity, profitability position and comparing the financial performance of the cooperative society through the selected period. The ratio analysis technique and comparative

statements are used for the analysis; tables and graphs have been used for a meaningful presentation of the data used and observation made in the internship work.

1.9 Literature review

1. Performance Evaluation of Regional Rural Banks, A research paper by Anil Kumar Soni (2012). Regional rural banks plays a vital role in the agriculture and rural development of India. The RRBS have reached the rural area of India through their huge network. The success of rural credit in India largely depends on their financial strength. RRBs are key financing institutions at the rural level which shoulder the responsibility of meeting the credit needs of different types of agriculture credit in rural areas. At present, most of the regional rural banks are facing problems of overdue, recovery, nonperforming assets and other problems. Therefore, it is necessary to study financial performance of the societies in India.

2. International Journal of Management Sciences Vol. 1, No. 4, 2013, 132-137 Financial Ratio Analysis of Firms: A Tool for Decision Making Y. A. Babalola1, F. R. Abiola. Financial analysis is a specialty in accounting that is aimed at formulating a diagnosis and a prognosis relative to the situation and the financial performance of a company or an organisation. This article is to present primarily the relationship between financial analysis and accounting, and the fundamental role which accounting holds, through the information it produces, into analysts' work. The research method is the bibliographic one, being studied timely books and articles of the domain. Literature does not provide concrete answers to this problem, resolutions being expected especially from practitioners.

3. The Pharma Innovation Journal 2023; 12(1): 1141-1144, a research paper on Performance of district central cooperative bank: An economic appraisal; By RD Bhave, SR Torane, SS Manerikar, DB Malave and PJ Kshirsagar. The study was conducted to find out the progress of Ratnagiri District Central cooperative Bank Ltd (RDCC) using various parameters. The study was based on secondary data obtained from the Ratnagiri district Central cooperative Bank Ltd's annual reports.

4. Performance evaluation of regional rural banks in India by K. Sivaiah (2016): Institutional credit system has been playing a vital role in the economic development of rural India, particularly at this important juncture when we have entered the 21st century. The Government of India accepted the recommendations of the Working Group. Accordingly, Regional Rural Bank Ordinance 1975 was promulgated which was later replaced by the Regional Rural Banks Act. On 2nd October, 1975, five RRBs were established. The main objectives of the establishment of RRBs were to boost rural development; to provide credit facilities to small & marginal farmers, landless labourers and rural artisans; to inculcate banking habits in the rural masses; to help small entrepreneurs in the establishment of industries; to eradicate unemployment of rural areas. The Narasimhan committee conceptualised the creation of RRBs in 1975 as a new set of regionally oriented rural banks, which would combine the local feel and familiarity of rural problems characteristic of cooperatives with the professionalism and large resource base of commercial banks.

CHAPTER II

COOPERATION, COOPERATIVE MOVEMENT, COOPERATIVE SOCIETY- AN OVERVIEW

2.1 MEANING

The word co-operation is derived from Latin word "co-operai" where 'co' means "with" or "together", "operat" means to work. In other words, co-operation means working together, so co-operation means working together to accomplish or satisfy the common goal.

A cooperative is defined in the **Statement on the Cooperative Identity** of the International Cooperative Alliance (ICA) as an autonomous association of persons united voluntarily to meet their common economic, social and cultural needs and aspirations through a jointly owned and democratically controlled enterprise.

Cooperatives are **people-centered enterprises** owned, controlled and run by and for their members to realise their common economic, social, and cultural needs and aspirations. Cooperatives bring people together in a democratic and equal way. Whether the members are the customers, employees, users or residents, cooperatives are democratically managed by the *'one member, one vote'* rule. Members share equal voting rights regardless of the amount of capital they put into the enterprise.

As businesses **driven by values**, not just profit, cooperatives share **internationally agreed principles** and act together to build a better world through cooperation. Putting fairness, equality and social justice at the heart of the enterprise, cooperatives around the world are allowing people to work together to create **sustainable enterprises** that generate long-term jobs and prosperity.

Cooperatives allow people to take control of their economic future and, because **they are not owned by shareholders**, the economic and social benefits of their activity stay in the communities where they are established. Profits generated are either reinvested in the enterprise or returned to the members.

2.2 COOPERATIVE VALUES

Cooperatives are based on the values of **self-help, self-responsibility**, **democracy**, **equality**, **equity**, and **solidarity**. In the tradition of their founders, cooperative members believe in the ethical values of honesty, openness, social responsibility and caring for others.

2.3 COOPERATIVE PRINCIPLES (ICA)

The cooperative principles are guidelines by which cooperatives put their values into practice. The International cooperative Alliance (ICA) Congress held in Manchester on September 23, 1995, adopted the following seven principles:

i. **Voluntary and Open Membership**

Cooperatives are voluntary organisations, open to all persons able to use their services and willing to accept the responsibilities of membership, without gender, social, racial, political or religious discrimination.

ii. **Democratic Member Control**

Cooperatives are democratic organisations controlled by their members, who actively participate in setting their policies and making decisions. Men and women serving as elected representatives are accountable to the membership. In primary cooperatives, members have equal voting rights (one member, one vote) and cooperatives at other levels are also organised in a democratic manner.

iii. **Member Economic Participation**

Members contribute equitably to, and democratically control, the capital of their cooperative. At least part of that capital is usually the common property of the cooperative. Members usually receive limited compensation, if any, on capital subscribed as a condition of membership. Members allocate surpluses for any or all of the following purposes: developing their cooperative, possibly by setting up reserves, part of which at least would be indivisible; benefiting members in proportion to their transactions with the cooperative; and supporting other activities approved by the membership.

iv. **Autonomy and Independence**

Cooperatives are autonomous, self-help organisations controlled by their members. If they enter into agreements with other organisations, including governments, or raise capital from external sources, they do so on terms that ensure democratic control by their members and maintain their cooperative autonomy.

v. **Education, Training, and Information**

Cooperatives provide education and training for their members, elected representatives, managers, and employees so they can contribute effectively to the development of their cooperatives. They inform the general public - particularly young people and opinion leaders - about the nature and benefits of co-operation.

vi. **Cooperation among Cooperatives**

Cooperatives serve their members most effectively and strengthen the cooperative movement by working together through local, national, regional and international structures.

vii. **Concern for Community**

Cooperatives work for the sustainable development of their communities through policies approved by their members.

2.4 HISTORY AND GROWTH OF THE COOPERATIVE MOVEMENT IN INDIA

The cooperative movement in India has a rich and intricate history that spans over a century. Emerging as a response to the multifaceted socio-economic challenges faced by various segments of society under the colonial rule of the British Empire, the cooperative movement aimed to empower individuals and communities through collective action, mutual cooperation, and self-reliance. The detailed history of the cooperative movement in India, tracing its evolution, milestones, challenges, and impact runs as follows.

i. Pre-Independence Era

The early roots of the cooperative movement can be traced back to the late 19th century, a time when India was grappling with poverty, landlessness, and exploitative agricultural practices exacerbated by British colonial policies. The first cooperative credit society in India was the Agricultural Credit Cooperative Society of Kanaginahal village in Gadag district of Karnataka. It was registered on July 8, 1905, under the Cooperative Credit Societies Act, 1904. The society was founded by Shri Siddanagowda SannaRamanagaowda Patil, a farmer from the village. The society had an initial membership of 20 farmers and a share capital of Rs. 2,000. The society's main objective was to provide financial assistance to farmers for agricultural purposes.

ii. Mahatma Gandhi and Cooperative Ideals

Mahatma Gandhi, a pivotal figure in India's struggle for independence, had a profound influence on shaping the cooperative movement. Gandhi believed that cooperatives were not merely economic institutions but also tools for fostering self-reliance, decentralisation, and community development. His advocacy for "Sarvodaya," meaning the welfare of all, led to the establishment of village-level institutions, where communities could collectively manage their affairs and address their needs. Gandhi's promotion of spinning wheels (khadi) and village industries was deeply rooted in his cooperative principles.

iii. Cooperative Movement and Freedom Struggle

The cooperative movement found resonance during the freedom struggle, as leaders like Mahatma Gandhi, Jawaharlal Nehru, and Sardar Patel recognised its potential to challenge British economic dominance and empower the masses. These leaders saw cooperatives as a means to achieve economic self-sufficiency and a way to counter British-controlled institutions. Gandhi's emphasis on self-sufficiency through cottage industries aligned with cooperative principles, further fueling the movement.

iv. Post-Independence Development (1947 onward)

After India gained independence in 1947, the cooperative movement assumed a new significance in the nation-building process. The Cooperative Planning Committee was established in 1950 to formulate policies for promoting and strengthening cooperatives. The All India Rural Credit Survey highlighted the importance of credit cooperatives in rural

development, recognising their potential to provide access to finance for marginalised communities.

v. Operation Flood and Dairy Cooperatives

One of the most transformative phases of the cooperative movement was the launch of the Operation Flood programme in the 1970s. Spearheaded by Dr. Verghese Kurien, this programme aimed to revolutionise India's dairy sector and make the country self-sufficient in milk production. Operation Flood introduced the concept of dairy cooperatives, wherein small-scale milk producers formed cooperatives to collectively process, market, and sell their milk. The success of this programme not only made India the largest milk producer in the world but also showcased the power of cooperatives in transforming entire sectors of the economy.

vi. Challenges and Reforms

While the cooperative movement brought about positive change, it also faced challenges. Political interference, corruption, and mismanagement affected many cooperatives. Instead of serving the interests of their members, some cooperatives became instruments for political gains. This prompted the need for reforms to enhance governance, transparency, and accountability within the cooperative sector. Various state governments introduced cooperative reforms to address these issues.

vii. Diversification of Cooperative Activities

Over time, the cooperative movement diversified its activities across various sectors. Agricultural cooperatives played a pivotal role in providing farmers with access to credit, inputs, and markets, enhancing their productivity and income. Credit cooperatives, both in urban and rural areas, contributed significantly to financial inclusion by providing affordable credit to marginalised sections of society. In recent decades, the cooperative movement has diversified into various sectors beyond agriculture, including housing, healthcare, and retail. Organisations like the Indian Farmers Fertilizer Cooperative Limited (IFFCO) and the National Agricultural Cooperative Marketing Federation of India (NAFED) and milk federations have played significant roles in enhancing farmers' access to inputs and markets.

viii. Role in Empowerment

One of the remarkable aspects of the cooperative movement in India is its role in empowering women and marginalised communities. Cooperatives have provided a platform for these groups to come together, access resources, and engage in economic activities. Self Help Groups (SHGs), a subset of the cooperative movement, have been instrumental in empowering women in rural areas. These groups not only provide financial assistance but also offer a support system for women to learn new skills, become financially independent, and participate in decision-making processes. Cooperatives have also played a significant role in improving the socio-economic conditions for marginalised communities. By providing access to credit, education, and employment opportunities, cooperatives have contributed to reducing economic disparities and enhancing social mobility. The cooperative movement's commitment to equality and

inclusion aligns with the principles of social justice, making it an important tool for creating a more equitable society.

ix. Government Support and Policies for the Cooperative Movement

Government support has been a crucial factor in shaping the growth, sustainability, and impact of the cooperative movement in India. Over the years, various policies and initiatives have been introduced to promote and strengthen cooperatives across different sectors. Government intervention has played a dual role of providing financial assistance, regulatory frameworks, and capacity-building support, while also ensuring the autonomy and democratic functioning of cooperative organisations.

x. Financial Support and Funding

The government has provided financial support to cooperatives through different channels. The establishment of institutions like the National Cooperative Development Corporation (NCDC) in 1963 has facilitated the provision of funds for cooperative ventures. The NCDC offers financial assistance for cooperative projects, both in rural and urban areas, ranging from agriculture to agribusiness, and from housing to infrastructure development. Government-sponsored credit schemes and subsidies have also been directed towards cooperatives to ensure affordable credit, inputs, and services for members. These initiatives have helped cooperatives access capital and resources that are critical for their functioning and growth.

xi. Regulatory Frameworks and Legislation

Government policies have established regulatory frameworks that define the legal and operational parameters for cooperative organisations. Legislation such as the Cooperative Societies Act provides the legal basis for the formation, registration, and functioning of cooperatives. These laws ensure that cooperatives adhere to democratic principles, transparency, and accountability. The government's role in regulating cooperatives is essential to prevent mismanagement, fraud, and exploitation. However, there is a delicate balance to be struck between regulation and autonomy, as excessive interference can stifle innovation and local decision-making.

xii. Capacity Building and Training

Capacity building and training programmes have been an integral part of government support for cooperatives. Training initiatives aimed at cooperative leaders and members help build skills in areas such as management, financial literacy, marketing, and modern agricultural practices. These programmes equip cooperatives with the knowledge and tools needed to operate effectively and sustainably. The National Cooperative Union of India (NCUI) and state-level cooperative departments have been instrumental in organising training workshops, seminars, and skill development programmes for cooperative stakeholders.

xiii. Promotion of Inclusive Development

Government policies have explicitly recognised the role of cooperatives in promoting inclusive development, especially in rural and marginalised areas. The National Policy on Cooperatives,

introduced in 2002, emphasises the need to involve cooperatives in poverty alleviation, employment generation, and empowerment of women and marginalised communities. By targeting specific sectors and regions, government policies have aimed to bridge gaps in access to resources and services. For instance, the Rashtriya Krishi Vikas Yojana (RKVY) has supported agricultural cooperatives to enhance productivity, diversification and growth.

xiv. Digital Initiatives and Modernisation

In recent years, the government's focus on digital initiatives and technology-driven solutions has extended to the cooperative sector. Digital platforms and e-governance tools have been introduced to streamline operations, improve transparency, and enhance member engagement. These initiatives have the potential to modernise cooperative management and bring about greater efficiency. Digital platforms can streamline operations, improve access to services, and enhance communication between cooperative members. Mobile banking, online marketing, and e-commerce platforms can broaden the reach of cooperative products and services beyond local markets.

2.5 STRUCTURE AND SIGNIFICANCE OF COOPERATIVES

The cooperative structure in India consists of different constituents. At the bottom of this structure are the primary societies, which render various types of services. Of this large number that is about 80% is concerned with agriculture. Most of these societies, i.e. about 60% deal with credit only. Thus a large majority of primary societies are related to agriculture and credit. They perform various functions such as credit, consumer items, marketing, transports etc. These are generally divided into two groups (i) credit societies and (ii) non-credit societies. Each of these two sub groups is further split up into sub groups: (a) agricultural societies and (b) non – agricultural societies.

Agricultural societies (both credit and non-credit) are found in rural areas, but non-agricultural societies (both credit and non-credit) are found mainly in urban areas. For supervision and financial assistance to cooperative credit societies there are District Central Cooperative Banks. (DCCBs). The central banks supervise the financial functioning of the primary agriculture societies of a district or part of a district and offer financial assistance to them. Their capital is drawn from public deposits, share capitals and loans from other sources. Because of a variety of sources from which these banks can draw money, they act as a link between cooperative societies and the money market. They function as balancing centres by diverting funds of surplus societies to the needy societies. They perform ordinary banking functions also. At the top of the cooperative credit structure in the agriculture credit sector is the state cooperative bank at the state level, known as the State Apex Bank. It controls the working of district central banks and provides finance to them. It also acts as the link between National Bank for Agriculture and Rural Development (NABARD) India and DCCBs from which it borrows and lends to the central banks and primary societies. It directs the cooperative societies in the agriculture credit sector of the cooperative movement in the state. Its capital comes from share capital, public deposits and loans and advances from the state and Reserve Bank of India. All the above three types of institutions are concerned with short and medium term agriculture credit to members in the cooperatives.

The National Cooperative Union of India (NCUI) is the apex organisation promoting the cooperative movement in the country.

2.6 TYPES OF COOPERATIVE SOCIETIES

Cooperatives may be formed basically in any walk of life. Cooperatives exist in almost all sectors such as retail, banking, housing, marketing, agriculture, industrial, fisheries, processing, and employment, among others. Some of the most renowned cooperatives in India are Amul, Shree Mahila Gruha Udyog (Lijjat Papad), KRIBHCO, Central Arecanut Marketing Cooperative Society (CAMCO), and Indian Farmers Fertiliser Cooperative (IFFCO –(which is also one of the largest cooperatives in the world).The major types of cooperative societies include;

1. Primary agricultural cooperative credit society including multipurpose & large scale
2. Consumer's cooperative society.
3. Processing cooperative society.
4. Marketing cooperative society.
5. Housing cooperative society.
6. Cooperative farming society
7. Milk producing cooperative society
8. Other cooperative societies like industrial, artisans, fishermen, labour, employees etc.

2.7 COOPERATIVE MOVEMENT IN KARNATAKA

Karnataka has a special place in the Indian cooperative sector, as it is one of the first states which started the movement. Prior to unification of states, the present Karnataka was spread among various provinces such as Hyderabad, Mumbai, Mysore, Madras etc. All provinces had their own laws relating to cooperative societies.

After the unification of states, The Mysore Cooperative Societies Act 1956 was enacted which applied to the whole of Mysore State. It came into force from June 1, 1950. Mysore State was renamed as Karnataka in 1973 and the Act was also renamed as Karnataka Cooperative Societies Act, 1959.(Act). The Act is aimed to be an Act to promote the voluntary formation, autonomous functioning, democratic control and professional management of cooperative societies in the state of Karnataka.

i. **Promotion of cooperative movement by State Government**
   Being the regulatory authority of cooperative societies in the state, the State Government also acts as “Friend, Philosopher and Guide” of the cooperative movement in the state. It promotes the cooperative movement in various ways with financial and non-financial aids.

ii. **Promotion of cooperative movement**
   As per section 40 of the Act, it shall be the duty of the State Government to encourage and promote the cooperative movement including encouragement of cooperative farming in the State and to take such steps in this direction as may be necessary.

iii. **Direct partnership of State Government in cooperative societies**
   As per section 41 the State Government may subscribe directly to the share capital of a cooperative society with limited liability

iv. **Indirect partnership of State Government in cooperative societies**

As per section 42 of the Act, the State Government, subject to appropriation by law, provide moneys to a cooperative society for the purchase of share in other cooperative societies with limited liabilities.

Government has an important role in the development of agriculture cooperative societies in the state. There are various schemes of interest subsidy, subvention, waiver of loans and sanction of grants to the society for working capital etc. Following are the main schemes.

a) Interest subsidy on agricultural loans disbursed at 0 & 3%
b) Providing working capital loan at 0% interest rate for promoting animal husbandry and fisheries
c) Loan Waiver Scheme -2017
d) Loan waiver up to maximum of Rs. 1.00 lakhs - 2018
e) Interest subsidy to Self Help Groups
f) Kayaka Scheme
g) Badavara Bandhu
h) Interest subsidy for pledge loan
i) Subsidy on warehouse charges
j) Extension of loan instalment period during Covid-19 period 01.03.2021 to 30.06.2021
k) Athma Nirbhar Bharath- Central Government Scheme

Source: https://sahakarasindhu.karnataka.gov.in/english

Besides the above, there are a number of schemes for helping the cooperative societies for the construction of building, business development, working capital and share capital and other funds.

Table 1.1 Showing Present picture of the cooperative societies in the state

Sl No.	Particulars	2021-22 (Tentative)
1	No. of cooperatives Societies	46,544
	Of which a) Working b) Defunct c) Under liquidation	 40,545 2,436 3,563
2	Share Capital (in crores)	6,343.38
	Government	278.62
	Members	6,064.76
3	Total No of Members	2,21,86,413
4	Working Capital (in crores)	1,56,061.97
5	Deposits (in crores)	1,15,084.43
6	Villages under cooperative societies (%)	100
7	Cooperative societies in profit Cooperative societies in loss Cooperative societies without Profit or loss	26,712 15,485 4,347

Source: https://sahakarasindhu.karnataka.gov.in/storage/pdf-files/ANNUAL%20REPORT

2.8 PRIMARY AGRICULTURAL CREDIT SOCIETIES IN INDIA

Table 1.2 Details of Primary Agricultural Credit Societies and Membership

NAME OF THE STATES/UNION TERRITORIES	TOTAL NO. OF PACS	OF COL.2 VIABLE	OF COL.2 POTENTIALLY VIABLE	OF COL.2 DORMANT	OF COL.2 DEFUNCT	OF COL.2 OTHERS	TOTAL MEMBERSHIP (In 000)	OF COL.8 SCHEDULED CASTE (S/C)	OF COL.8 SCHEDULED TRIBES (S/T)	OF COL.8 SMALL FARMERS (S/F)	OF COL.8 RURAL ARTISANS (R/A)	OF COL.8 OTHERS& MARGINAL FARMERS
1	2	3	4	5	6	7	8	9	10	11	12	13
1. Central Zone (% Share in Total)	13386 12.84	10778 13.42	1989 10.69	386 16.6	163 13.37	70 3.83	7997.47 4.73	2929.7 16.35	1154.61 5.91	2337.71 3.33	278.21 3.87	1297.24 2.39
2. Eastern Zone (% Share in Total)	18569 17.81	14131 17.6	2854 15.34	583 25.08	411 33.72	590 32.24	28400.37 16.79	2581.98 14.41	3461.17 17.73	7942.95 11.31	704.67 9.8	13709.6 25.24
3. North-Eastern Zone (% Share in Total)	9449 9.06	9043 11.26	164 0.88	127 5.46	115 9.43	0 0.0	27776.28 16.42	2772.68 15.47	10702.94 54.81	1649.98 2.35	3615.72 50.3	9034.96 16.63
4. Northern Zone (% Share in Total)	17379 16.67	14807 18.44	1746 9.39	319 13.72	241 19.77	266 14.54	22648.73 13.39	2550.83 14.24	1561.46 8.0	9277.29 13.21	1158.94 16.12	8100.21 14.91
5. Southern Zone (% Share in Total)	16081 15.42	10475 13.05	4344 23.35	387 16.65	100 8.2	775 42.35	60678.35 35.87	6062.58 33.83	1527.99 7.83	44325.73 63.13	1069.64 14.88	7692.41 14.16
6. Western Zone (% Share in Total)	29402 28.2	21055 26.22	7506 40.35	523 22.49	189 15.5	129 7.05	21668.77 12.81	1021.07 5.7	1118.71 5.73	4683.79 6.67	361.51 5.03	14483.69 26.66
ALL INDIA TOTAL: Percentage (%)	104266 100	80289 100	18603 100	2325 100	1219 100	1830 100	169169.97 100	17918.84 100	19526.88 100	70217.45 100	7188.69 100	54318.11 100

Source: National Federation of State Cooperative Bank https://nafscob.org

2.9 RURAL DEVELOPMENT THROUGH COOPERATIVES

The cooperative sector plays a very crucial role in strengthening the rural economy through the disbursement of agricultural credit, agriculture processing, providing market support to farmers, distribution of consumer and agricultural inputs and imparting cooperative education and training. Cooperatives have helped in improving income, employment, consumption and quality of life of its members. Governments also provide various incentives to cooperative societies. Cooperatives help in increasing the bargaining power of their members, providing them with higher income and social protection. They help in uplifting them from degradation and poverty. Workshops and various learning and informative opportunities are provided to the members so that they can understand the functioning and needs of their respective cooperatives. A very crucial part of cooperatives is to provide agricultural credits and funds. This helps in providing initial financial assistance to the members.

- **Primary Agricultural Cooperative Society (PACS)**

As per section 2(c) a cooperative society means a society registered or deemed to be registered under this Act. As per section 2(h-1) a primary society means a cooperative society whose membership is not open to another cooperative society. As per section 2(h-2) A primary agricultural society means a cooperative society as defined under clause (cciv) of Section 5 of Banking Regulation Act 1949 and includes a multipurpose society. As per section 2(f-1) a multipurpose cooperative society means a primary society the object of which is to provide

various services including services related to credit, business, industry, and consumer durables to its members. Thus agricultural cooperative society or farmers' cooperative society or agricultural service society or multipurpose society by whatever name be called are the cooperatives where farmers pool their resources for their mutual benefit in the form of credit, business, service, and consumer durables.

The present case study involves the financial performance analysis of Tattisara Group Seva Sahakari Sangha Limited, Melina Onikeri, a primary agriculture cooperative credit society which also works as a multipurpose society.

2.10 SOCIETY PROFILE

i. Area of operation

The name of the society under the study is Tattisara Group Seva Sahakari Sangha Limited, Melina Onikeri. It is a cooperative society which is registered under Karnataka Cooperative Societies Act, 1959, registered on 3rd August, 1959. The society has successfully completed 64 years in Melina Onikeri, Sirsi. The area of operation includes 12 small villages in the taluk, the population of which includes small and medium farmers and agriculture labourers.

ii. History of the society

In the 1950s, the method of ration was in practice which was necessary for everyone. So every person had to go far away to get the ration that is about 15 kms from the village. There were no organisations for giving consumer services and financial assistance to the farmers in these villages. These are the main reasons which gave birth to the society.

This cooperative society started working in August 1959, but it did not have a building up to 1966. Until then, it carried out its operations in a rented building. In 1966, the society built an office in Melina Onikeri. After a few years, the society bought a vehicle to transport the agricultural products and consumer goods at cheaper cost. In 2002, a new and well equipped, computerised building was built. It includes a computerised office, godowns of 250 quintals capacity, guest rooms and a function hall. The society has a vehicle, dryer, and accommodations for the staff. There are 3 branches at Koligar, Shigehalli and Melina Onikeri (Kirani) and a vehicle section.

Tattisar Group Seva Sahakari Sangha Limited, Melina Onikeri celebrated its Silver Jubilee in 1988 and in 2009 it celebrated its Golden Jubilee.

2.11 ORGANISATION PROFILE

Table 1.3 Showing Organisation Profile

Name of the society	Tattisar Group Seva Sahakari Sangha Limited Melina Onikeri.
Type of the organisation	Primary Agriculture Cooperative Society PACS
Type of the Sector	Cooperative Sector
Establishment	Established in the year 1959 with Registration No 21449/1959-60 Dated: 03-08-1959
Address of the Society:	At & Po; Melina Onikeri, Tq: Sirsi, Pin code : 581402 Uttara Kannada, Karnataka.

Area of operation of the society	The area of operation includes the following villages 1.Tattisar, 2. Melina Onikeri, 3. Kelagina Onikeri, 4. Koligar 5. Kadabal 6. Muregar 7. Salkani 8. Moduru 9. Manaduru 10. Shinganahalli 11. Naigar 12. Shigehalli
Organisation Structure	**The organisation includes :**Members (General Body) Board of Directors, Chairman and Vice Chariman, Chief Executive, Accountant, Staff.
Contact number:	08283-260 044, 08283-260 079

Source: Byelaws of cooperative society

2.12 Objectives of and Services provided to the members by the society

As per bye law no 5 of the society, following are the objectives and the services provided by the society to its members.

1. To develop the habit of thrift, savings, self-help, mutual help and self-reliance among the members.
2. To collect the funds in the form of shares, deposits from the members and loans from the District Central Cooperative Bank.
3. To provide short and medium term agriculture credit to the members with interest subsidies of the government.
4. To provide non- agriculture credit for various purposes such as allied agriculture activities, house building, purchase of household articles, establishment of small industries, and purchase of vehicles and machineries.
5. To provide the consumer durables, seeds, fertilisers, agricultural implements and insecticides and pesticides at a reasonable price.
6. To process the raw agriculture produce of the members and to provide all assistance for selling the agriculture produce of the members in the marketing cooperatives and to act as the agent for developing a linkage between credit and marketing.
7. To do other activities to promote cooperative movement, agriculture, marketing, and provide assistance to the members with various socio-economic activities.

2.13 Successive Growth of the Society

In the initial stage, Tattisar Group Seva Sahakari Sangha Limited, Melina Onikeri has collected share capital of Rs.44000, with shares of Rs.100/- each. The society took a bank loan of Rs.24000. In 1959-60, there were totally 44 members. The working capital of the society was Rs.27000 and Rs.1000 was kept as reserves. In its first financial year, the society did not distribute its profit to its shareholders. In 2010-11, the society had become a leading institution in surrounding villages. The total population of these 12 villages was 6400. In the year 2022-23, the society had 1,152 share members and 2,269 nominal members. The total share capital was Rs.61,44,000.

2.14 Statement of progress of society from 2018-19 to 2022-2023

Table 1.4 Showing Statement of progress of the society **(IN RS)**

Particulars	2018-2019	2019-2020	2020-2021	2021-2022	2022-2023
A. Liabilities					
A class members	1,152	1,152	1,150	1,142	1,148
Associate members	122	132	138	150	153
Nominal members	2,212	2,282	2,104	2,178	2,269
Share capital	61,50,000	60,36,700	60,67,700	60,77,800	61,44,000
Reserve fund	1,20,03,525	1,34,92,050	1,47,32,420	1,59,85,897	1,72,50,970
Other funds	3,04,18,527	3,52,51,882	4,02,78,300	4,41,82,569	4,80,63,760
Deposits	38,29,27,109	41,53,03,163	49,13,48,216	59,45,97,702	65,24,13,236
Bank loan	68,84,597	95,838	0	0	0
Working capital	**43,83,83,758**	**47,01,79,633**	**55,24,26,636**	**66,08,43,968**	**72,38,71,966**
Other funds and payables	6,56,64,428	6,02,04,848	6,29,09,265	7,52,23,924	8,09,22,255
Net profit	48,09,777	49,61,480	50,13,906	50,60,292	52,14,899
B.Assets					
Cash and cash equivalent	2,06,60,513	1,05,81,441	2,69,08,358	2,90,88,376	3,20,79,600
Investments	13,73,05,507	13,72,75,160	18,43,59,266	20,76,35,358	23,48,59,866
Members loan	28,90,50,759	33,01,56,319	34,92,07,327	38,48,42,989	46,29,90,005
Fixed assets	1,45,13,512	1,46,99,880	1,51,05,150	1,74,46,203	2,04,73,998
Other receivables	3,97,80,881	3,56,55,327	3,49,89,515	8,99,77,799	4,68,11,496
Closing stock	75,46,790	69,77,835	97,80,192	1,21,37,458	1,27,94,556
C.OTHER DETAILS					
Bank Loan repayment	100%	100%	100%	100%	100%
Members loan repayment	96.40%	96.06%	96.71%	97.28%	99.19%
Sale of Groceries	4,32,48,712	5,04,45,979	5,66,81.874	6,40,74,416	7,24,11,588
Grocery Rebate	4,53,500	11,18,260	10,90,000	9,92,454	-
Dividend rate	20%	20%	20%	20%	20%
Audit Classification	A Class	A Class	A Class	A Class	A Class
Sales or agricultural produce through the society(credit marketing link)	18,45,76,925	15,31,93,254	23,63,18,926	32,24,09,600	34,49,53,908

Source: Annual Reports 2019-2023

The main objective of the society is to inculcate the habit of thrift, savings and self-reliance among the members. The society collects various deposits from members. The total of the member deposits as at the end of the F.Y 2022-23 is Rs. 64,80,62,,870.

Another main objective of the society is to distribute both agriculture and non-agriculture credit to the members. The outstanding amount of loans and advances as at the end of F.Y. 2022-23 is at Rs.46, 29, 90,005.

The interest rates for member deposits as on 01-04-2023 are as below.

Table 1.5 Interest rate of deposits

Particulars	**Interest Rates**
Short and Medium Term Agriculture Loans	As per the rates of Govt. Interest subsidy schemes
Long term loan(agricultural loan)	10.50%
Non-agricultural loan Vehicle loan(old vehicle) Vehicle loan(new vehicle)	 9.50% 9.00%
Higher education loan	8.00%
Members Deposits	11.00%
Sundry debtors	10.00%
Agricultural medium term loan	11.00%
Agricultural medium term loan	12.00%
Non-Agricultural long term loan	10.50%
Solar	9.00%
After the installment started	9.50%
Gold loans(Rs.2250 per gram)	9.50%
Pledge Loan	8.00%

Table 1.6 interest rate on loans and advances. (As on 01-04-2023)

Particulars	**Interest rates**
Savings and other non-term deposit	3.00%
<u>Fixed deposit</u> 6 months 9 months 1 - 3 years 3 – 5 years Above 5 years	 5.00% 5.50% 6.50% 6.25% 6.00%
Compulsory term deposit	7.50%
Prasthana deposit	7.50%

2.15 Structure and Sources of funds

The main source of funds for the society is share capital collected from shareholders, its own funds which are created out of profits as retained earnings and borrowings from members as deposits and loans and advances from the district central cooperative bank.

The society collects small savings and surplus money from the members as deposits and the collected money is used as working capital and interest at a certain rate is given on the amount of deposits. Besides encouraging thrift and savings and providing safety to their amount, the society can earn some money on the amount collected in the form of deposits by using it as working capital. To suit the various requirements of the members, the society has introduced different schemes of deposits.

2.16 Structure of Sources of funds

Table 1.7 Details of Deposits of the Members (2019-23)

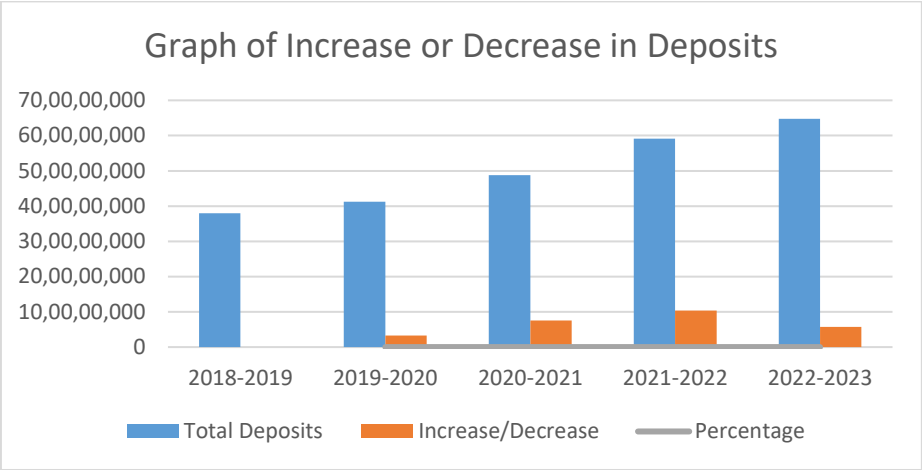
Particulars	**2018-2019**	**2019-2020**	**2020-2021**	**2021-2022**	**2022-2023**
Fixed deposit	2,61,49,991	2,31,08,317	2,00,63,083	2,28,26,883	2,18,00,088
Savings deposit	4,02,15,725	3,24,61,497	3,33,20,659	3,53,05,649	3,68,90,577
Compulsory deposit	11,46,16,688	12,77,77,410	14,64,07,106	16,89,10,070	19,61,06,084
Cash certificate	13,45,40,083	15,50,99,017	18,32,81,249	21,37,97,666	23,56,01,939
Kalyana Yojana deposit	44,35,501	47,02,202	47,65,202	48,02,002	47,83,504
Users deposit	5,70,99,037	6,59,90,074	9,67,35,033	14,19,28,844	14,92,93,475
Special emergency deposit	94,140	56,531	58,510	59,112	56,852
Permanent deposit	22,23,367	24,20,913	23,71,915	25,23,917	27,78,579
Prasthana deposit	5,17,872	6,02,858	6,97,195	6,99,321	7,51,771
Members deposit	37,98,92,404	41,22,18,819	48,76,99,952	59,08,53,464	64,80,62,869

From the above table, we can conclude that the overall deposit collected by the society has been in an increasing trend. Fixed deposit, savings deposit, compulsory deposit and cash certificates increased at a higher rate because the society has shown a good performance in its working and is giving attractive interest.

Table 1.8 Increase or Decrease in Deposits

Year	Total Deposits	Increase/Decrease	Percentage
2018-2019	37,98,92,404	-	-
2019-2020	41,22,18,819	3,23,26,415	7.84
2020-2021	48,76,99,952	7,54,81,133	15.47
2021-2022	59,08,53,464	10,31,53,512	17.46
2022-2023	64,80,62,869	5,72,09,405	8.83

Graph 2.1 Showing Increase or Decrease in Deposits



2.17 Lendings by the society (Loans and Advances)

The society has different loan schemes for its members. It provides both short and medium term agriculture loans for the purpose of agriculture development, cultivation, to purchase seeds, fertilisers, pesticides and agricultural implements etc. to its members. Short term loan is disbursed by own funds or by the refinance from district cooperative banks as per the normal credit and as per the DCC Bank schemes and as per NABARD guidelines.

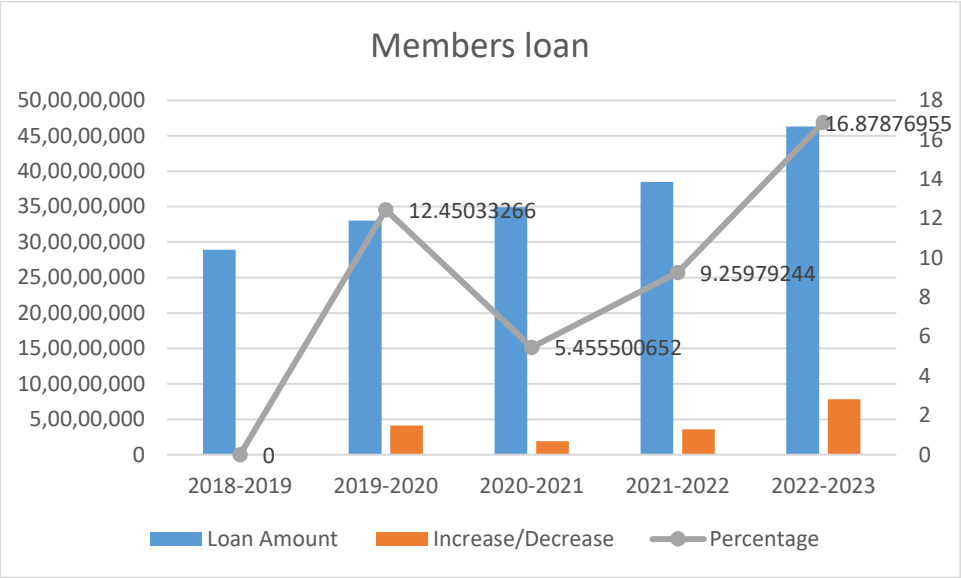
Non agriculture loans are disbursed with different repayment period for the purpose of house hold use, construction of houses including farm houses, purchase of vehicle, for setting up small scale industry, higher education, gold loan and pledge loan and deposit loans etc.There is an increasing trend in the disbursement of total loans from year to year.

2.18 members' loan

Table 1.9 Showing Increase or Decrease in Members' Loan amount and its percentage

Years	Loan Amount	Increase/Decrease	Percentage
2018-2019	28,90,50,759	0	0
2019-2020	33,01,56,319	4,11,05,560	12.45033266
2020-2021	34,92,07,327	1,90,51,008	5.455500652
2021-2022	38,48,42,989	3,56,35,662	9.25979244
2022-2023	46,29,90,005	7,81,47,016	16.87876955

Graph 2.2 Showing Increase or Decrease in Members' Loan amount and its percentage



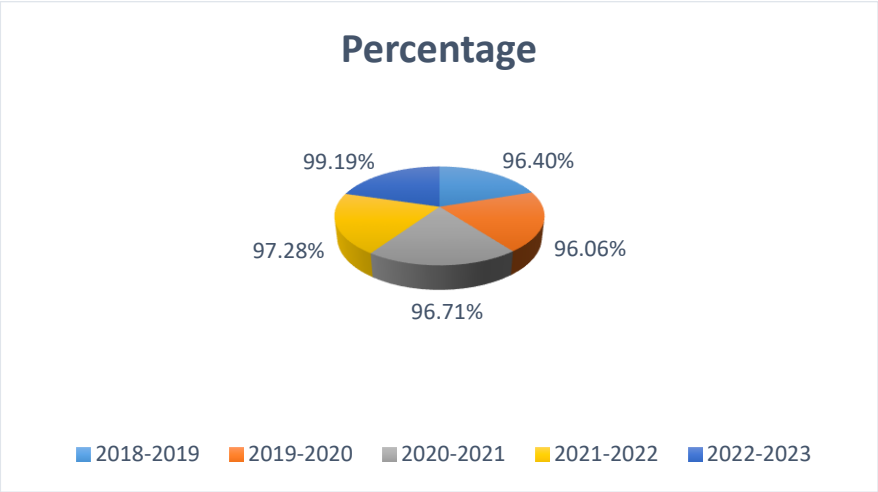
It may be noted that the amount of loans and advances is increasing year by year in the last five years, thereby fulfilling all types of credit needs of the members. The loan recovery rate is high (average 97.13) which is satisfactory. It may be noted that the recovery rate was maintained even during the Covid-19 period, thereby establishing the efficient management of the loan.

2.19 Repayment of members' loan

Table 1.10 Repayment of members' loan

Years	Percentage
2018-2019	96.40%
2019-2020	96.06%
2020-2021	96.71%
2021-2022	97.28%
2022-2023	99.19%
Average recovery for 5 years.	97.13

Graph 2.3 Showing the pie chart of repayment of loans



2.20 Other activities of the society and prizes won

a) Free medical check-up for all the members once in a year
b) Financial help when the members die
c) Blood testing and donation programme once in a year
d) Transport of agriculture produce to Marketing Societies at competitive rates
e) Provision of utensil, shamiana and table and chairs for functions at reasonable rates
f) Facility for paying electrical bills, revenue tax etc.
g) Prizes to students who get ranks or good marks
h) Provision of nursery seeds, plants and flower plants
i) Provision of facility of Oil mill, drier, peeling machine, flour mill etc.

Prizes: DCC Bank prize for best cooperative society for 32 times, Apex Bank prize for 23 times and 31 times Marketing society prizes and Cooperative union prizes etc.

Linking Marketing of agriculture produce of the members with Credit: It is one of the significant activities of the society. The amount involved in this business at the end of 2022-23 is Rs. 34,49,53,908 which has been increased 87% in the last 5 years.

CHAPTER III
FINANCIAL PERFORMANCE ANALYSIS CONCEPTUAL FRAMEWORK

THEORETICAL BACKGROUND

3.1 Financial performance

Introduction

Financial statements are prepared primarily for decision-making. They play a dominant role in setting the framework of managerial decisions but the information provided in the financial statements is not an end in itself as no meaningful conclusions can be drawn from these statements alone. However, the information provided in the financial statements is of immense use in making decisions through the analysis and interpretation of constituent elements of financial statements. Financial analysis is the process of identifying the financial strengths and weakness of a business organisation by their properties.

3.2 Financial Statements

3.2.1 Meaning

A financial statement is an organised collection of data according to a logical and consistent accounting procedures. Its purpose is to convey an understanding of some financial aspects of a business. It may show a position at a moment in time as in the case of a balance sheet, or may reveal a series of activities over a given period of time and net financial performance at the end of the period as in the case of an income statement or profit and loss account.

Financial statement is a formal and comprehensive statement describing financial activities of a business organisation. Financial statement is a statement that reports all relevant financial information, presented in a structured manner and in a form easy to understand for managerial use for taking prompt and informed decision making related to investment (IASB, 2007a) and also to decision making pertaining to cost planning, investment planning, expected returns and performance evaluation.

3.2.2 Limitations of the Financial Statements

i. **Financial statements are essentially interim reports.**

The profit shown by the profit and loss account and the financial positions as revealed by the balance sheet is not exact business organisations are going concerns. The exact position is known only when the business is closed down.

ii. **Accounting concept and conventions**

Financial statements are prepared on the basis of certain accounting concepts and conventions. On account of this reason, the financial position as disclosed by these statements may not be realistic. For example: fixed assets in the balance sheet are shown on the basis of "going concern concept". This means that value placed on the fixed assets may not be same which may be realised on their sale.

iii. **Influence on personal judgments**

Many items are left to the personal judgments of the accountants. For example, depreciation methods, valuation of inventory etc.

iv. **Disclose only monetary facts**

Financial statements do not represent those facts which cannot be expressed in terms of money. For example, the reputation and prestige of management gained within the public and development of a team of loyal and effective workers.

3.3 Financial Statement Analysis

The financial statements present many facts though they are absolute and concrete in terms, but are not in a position to interpret and analyse the true financial position of the enterprise; to analyse and interpret the financial statement, analysis is being instrumental across the financial statements, namely income statement and balance sheet. Under the financial statement analysis, the information available are grouped together in order to bring out the meaningful relationship which is already available among them for interpretation and analysis.

3.3.1. Financial Statement Analysis Definition

According to Kennedy and Muller, "the analysis and interpretation of financial statements are an attempt to determine the significance and meaning of financial statements so that the forecast may be rule of the prospects for future earnings ability to pay interest and debt maturities and profitability and sound dividend policy."

3.4 The entire financial statement analysis can be classified into two types:

1. Common Size Financial statement
2. Trend Analysis
2. Ratio Analysis

i. Common size financial statements

When the financial data are shown in the shape of vertical percentage is known as common size financial statements common size financial statements are also known as component percentage statements or 100% statements, because each statement is reduced to the total of 100% and each item is expressed as a percentage of the total 100.

ii. Trend Analysis

Trend analysis is an important tool of analysing financial data. Comparisons of past data over a period of time with a base year are known as trend analysis. It computes the changes in percentages for different variables over a long period and then makes a comparative study of them. Each item in the base year is taken as 100 and on that basis trend analysis for corresponding items in next years is calculated.

iii. Ratio analysis

Ratio analysis is a powerful tool of financial analysis. A ratio is defined as "the indicated quotient of two mathematical expression" and as "the relationship between two or more things". In financial analysis, ratio is used as a benchmark for evaluating the financial position and performance of a society. Ratios help to summarise large quantities of financial data and to make qualitative judgment about the society's financial performance.

The ratio reflecting a quantitative relationship helps to society's qualitative judgment The focus of financial analysis is on the key figures in the stations and the significant relationship that exists between them; the analysis of financial statement is a process of evaluating the

relationship between component parts of formatted attempts phasing a better understanding of the society's position and performance.

The first task of the analyst is to select the information relevant to the decision under consideration from total information contained in the financial statement the second step involved in the financial analysis is to arrange the information is a way to highlight a significant relationship. The final step is interpretation and drawing of inferences and conclusions. Ratio analysis is the most widely used technique of financial analysis.

3.5 Uses and limitations of financial ratios

Attention should be given to the following issues when using financial ratios.

- A reference point is needed. To be meaningful, most ratios must be compared to historical values of the same society, the society's forecasts, or ratios of similar society.
- Most ratios by themselves are not highly meaningful. They should be viewed as indicators, with several of them combined to paint a picture of the society's situation.
- Year-end values may not be representative; certain account balances that are used to calculate ratios may increase or decrease at the end of the accounting period because of seasonal factors. Such changes may distort the value of the ratio. Average values should be used when they are available.
- Ratios are subject to the limitations of accounting methods. Different Accounting choices may result in significantly different ratio values.

3.6 Importance of ratio analysis

As a tool of financial management, they are of crucial significance. The importance of ratio analysis lies in the fact that it presents facts on a comparative basis and enables the drawing of inferences regarding the performance of a society. Ratio analysis is relevant in assessing the performance of a society in respect of the following aspects.

i. **Liquidity position:** With the help of ratio analysis, conclusions can be drawn regarding the liquidity position of a society. The liquidity position of a society would be satisfactory if it is able to meet its current obligations when they become due.

ii. **Long-term solvency:** Ratio analysis is equally useful for assessing the long-term financial viability of a society. The long-term solvency is measured by the leverage/capital structure and profitability ratios, which focus on earning power and operating efficiency. Ratio analysis reveals the strength and weaknesses of a society in this respect.

iii. **Operating efficiency:** Ratio analysis throws light on the degree of efficiency in the management and utilisation of its assets.

iv. **Overall profitability:** The management is constantly concerned about overall profitability of the enterprise. This is possible if an integrated view is taken and all the ratios are considered together.

3.7 Types of ratios

Several ratios calculated from the accounting data can be grouped into various classes according to financial activity or function to be evaluated. The parties interested in financial analysis are short and long term creditors, owners and management. In view of the various uses

of ratios, they can be classified into categories. The following are the ratios used for this analysis:

A. Current ratio
B. Quick ratio
C. Net Working Capital ratio
D. Cash ratio
E. Gross profit ratio
F. Net profit ratio
G. Fixed assets Turnover ratio
H. Assets Turnover ratio
I. Assets to Sales ratio
J. Cost of Sales ratio
K. Debts to Assets ratio

CHAPTER 4

DATA ANALYSIS AND INTERPREATATION

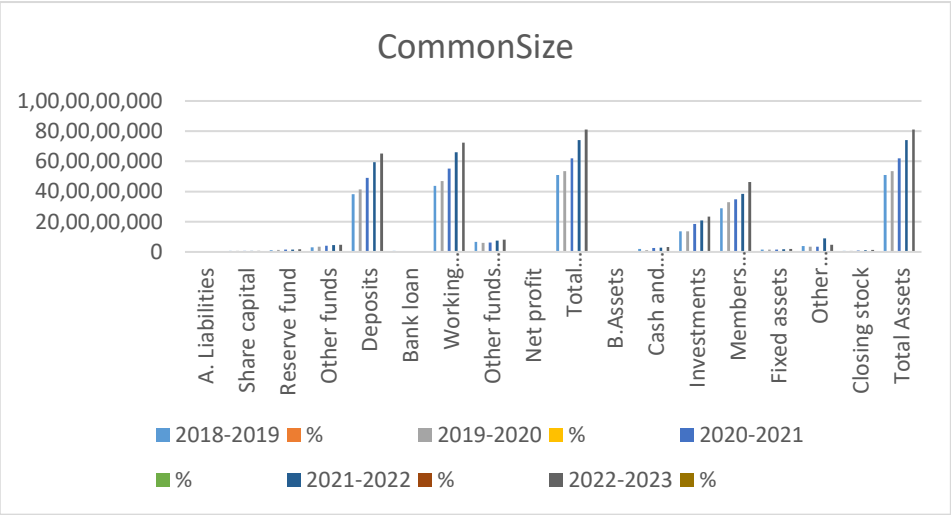
4.1 Common size statements of the Balance Sheets: 2019-2023

The figures shown in the financial statements i.e. balance sheet are converted into percentages so as to establish the proportion of each element to the total figure of the statement and these statements are called "*common size statements".* These statements are useful in analysing the performance of a business organisation by identifying the proportion of each individual element to the total figure of the statement. These statements will also assist in analysing the performance over years and also with the figures of the competitive societies in the sector for making analysis of relative efficiency. The following statements show the method of presentation of the data.

Table 1.11 Showing the Common Size Balance Sheet.

Particulars	2018-2019	%	2019-2020	%	2020-2021	%	2021-2022	%	2022-2023	%
A. Liabilities										
Share capital	61,50,000	1	60,36,700	1	60,67,700	0.9781	60,77,800	0.8200	61,44,000	0.7585
Reserve fund	1,20,03,525	2	1,34,92,050	3	1,47,32,420	2.3748	1,59,85,897	2.1569	1,72,50,970	2.1297
Other funds	3,04,18,527	6	3,52,51,882	7	4,02,78,300	6.4928	4,41,82,569	5.9615	4,80,63,760	5.9337
Deposits	38,29,27,109	75	41,53,03,163	78	49,13,48,216	79.2050	59,45,97,702	80.2287	65,24,13,236	80.5439
Bank loan	68,84,597	1	95,838	0.0179	0	0	0	0	0	0
Working capital	**43,83,83,758**	86	**47,01,79,633**	**88**	**55,24,26,636**	89.0508	**66,08,43,968**	89.1672	**72,38,71,966**	89.3659
Other funds and payables	6,56,64,428	13	6,02,04,848	11	6,29,09,265	10.1409	7,52,23,924	10.1499	8,09,22,255	9.9902
Net profit	48,09,777	1	49,61,480	1	50,13,906	0.8082	50,60,292	0.68278	52,14,899	0.6438
Total Liabilities	**50,88,57,963**	**100**	**53,53,45,961**	**100**	**62,03,49,807**	**100**	**74,11,28,184**	**100**	**81,00,09,120**	100
B.Assets										
Cash and cash equivalent	2,06,60,513	4.0601	1,05,81,441	1.9765	2,69,08,358	4.3376	2,90,88,376	3.9248	3,20,79,600	3.9603
Investments	13,73,05,507	26.9830	13,72,75,160	25.6423	18,43,59,266	29.7185	20,76,35,358	28.0161	23,48,59,866	28.9947
Members loan	28,90,50,759	56.8038	33,01,56,319	61.6715	34,92,07,327	56.2920	38,48,42,989	51.9266	46,29,90,005	57.1585
Fixed assets	1,45,13,512	2.8521	1,46,99,880	2.7458	1,51,05,150	2.4349	1,74,46,203	2.3540	2,04,73,998	2.5276
Other receivables	3,97,80,881	7.8176	3,56,55,327	6.6602	3,49,89,515	5.6402	8,99,77,799	12.1406	4,68,11,496	5.7791
Closing stock	75,46,790	1.4830	69,77,835	1.3034	97,80,192	1.5765	1,21,37,458	1.6377	1,27,94,556	1.5795
Total Assets	**50,88,57,962**	**100**	**53,53,45,962**	**100**	**62,03,49,808**	**100**	**74,11,28,183**	**100**	**81,00,09,521**	**100**

Graph 2.4 Showing the Bar graph of Common Size Statement.



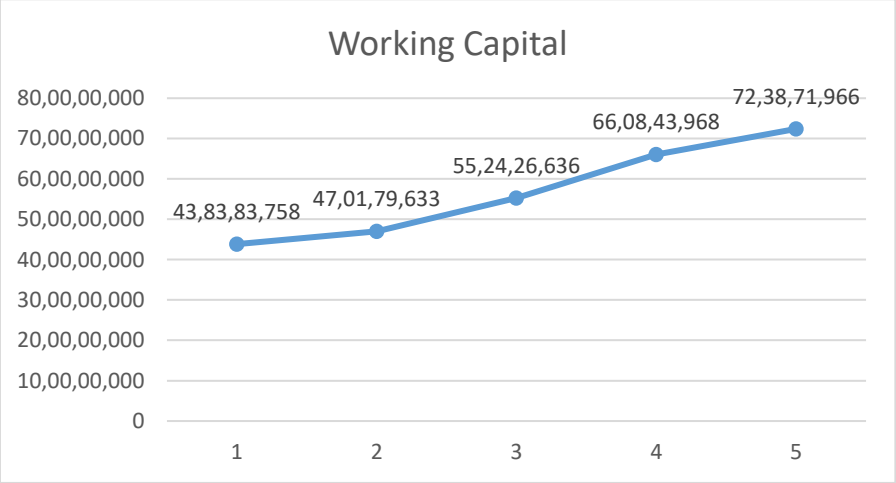
From the common size balance sheet, we can observe that the deposits of the members amounts to 80% of the total of the capital at the end of the F.Y. 2022-23. Share capital amounts to 0.70% as shares are received from the members for membership purpose and as matching shares against the agricultural loan. Reserve and other funds amount to 08% of the total capital. The trend is the same for the period from 2019 to 2023. Net profit amounts to 0.64% of the capital which is showing a downward trend in the period.

At the end of 2022-23 on the assets side, members' loan accounts for 57% and investments 28% together amount to 85% of the total assets which are interest bearing assets contributing a major share in the net profit. Cash and cash equivalents contribute to around 4%, being high in proportion due to the requirement of statutory reserves against the time and demand liability. Fixed assets amount to 2.5% and other receivables being 5.77 %. Closing stock amounts to 1.57% of the total assets.

Table 1.12 Showing working capital of the society for the period 2019-2023

Share capital	61,50,000	60,36,700	60,67,700	60,77,800	61,44,000
Reserve fund	1,20,03,525	1,34,92,050	1,47,32,420	1,59,85,897	1,72,50,970
Other funds	3,04,18,527	3,52,51,882	4,02,78,300	4,41,82,569	4,80,63,760
Deposits	38,29,27,109	41,53,03,163	49,13,48,216	59,45,97,702	65,24,13,236
Bank loan	68,84,597	95,838	0	0	0
Working capital	**43,83,83,758**	**47,01,79,633**	**55,24,26,636**	**66,08,43,968**	**72,38,71,966**

Graph 2.5 Showing the Line graph of Working Capital.

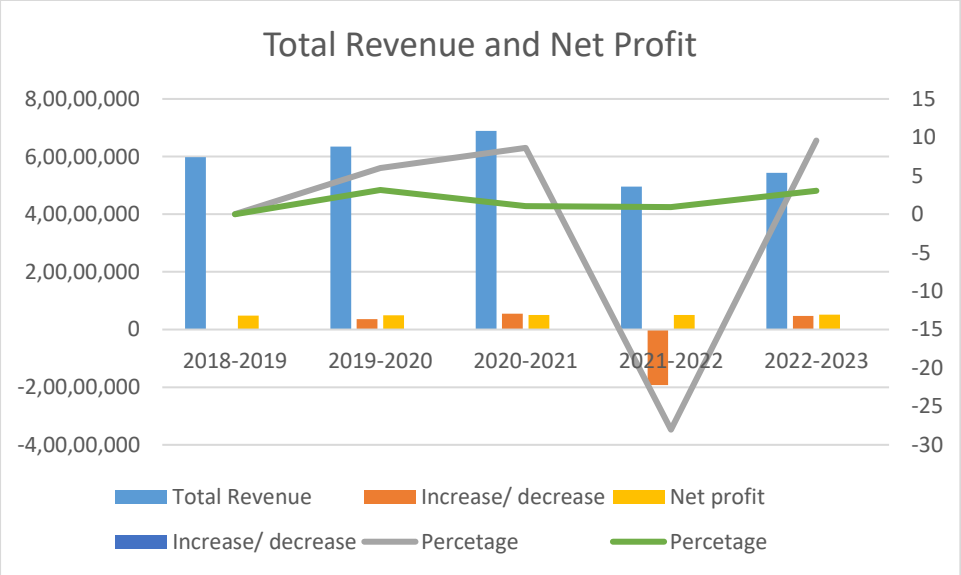


The society has sufficient amount of working capital to meet the requirements of the business and other activities as per the objectives of the society. The working capital is increasing year by year with 65% growth in the last five years. As evidenced above in table, members' deposit takes the major share in the working capital with 90.12% which is steady in the period and shows members' confidence in the society.

Table 1.13 Showing the Total revenue and Net Profit of the society for the period 2019-2023

Years	Total Revenue	Increase/ decrease	Percentage	Net profit	Increase/ decrease	Percentage
2018-2019	5,98,59,641	0	0	48,09,777		0
2019-2020	6,34,59,057	35,99,416	6.0130932	49,61,480	1,51,703	3.154055
2020-2021	6,89,30,613	54,71,556	8.62218296	50,13,906	52,426	1.056661
2021-2022	4,96,12,210	-1,93,18,403	-28.0258686	50,60,292	46,386	0.925147
2022-2023	5,43,70,423	47,58,213	9.59081041	52,14,899	1,54,607	3.055298

Graph 2.6 Showing the Line graph of Total revenue and Net Profit.



Interpretation: As observed from the above figure, total revenue increased up to 2022 and suddenly decreased by 28%. This is because there is a change in the accounting policy. Though there is a sudden decrease in the revenue, the net profit is steadily increasing.

4.2 TREND ANALYSIS AS AT THE END OF THE YEAR FROM 2019 TO 2023.

The trend ratios of different items are calculated for various periods for comparison purpose in the financial statements. The trend ratios are the index numbers of the movements of reported financial items in the financial statements which are calculated for more than one financial year. The calculation of trend ratios are based on statistical technique called *"Index numbers"*. It reflects the behaviour of items over a period of time. The methodology used in computation of trend ratios is as follows:

(1) The accounting principles and policies should be consistently followed throughout the period for which the trend ratios are calculated.

(2) The trend ratios should be calculated only for the items which have a logical relationship with one another.

(3) The trend analysis should be made at least for five consecutive years.
(4) The financial statements of one financial year may be selected as base year statement and financial items of it should be assigned with value as 100
(5) Then trend ratios of subsequent years' financial statements should be calculated by applying the following formula:

Absolute figure of financial statement under study
= ---------- x 100
Absolute figure of same item in base financial statement.

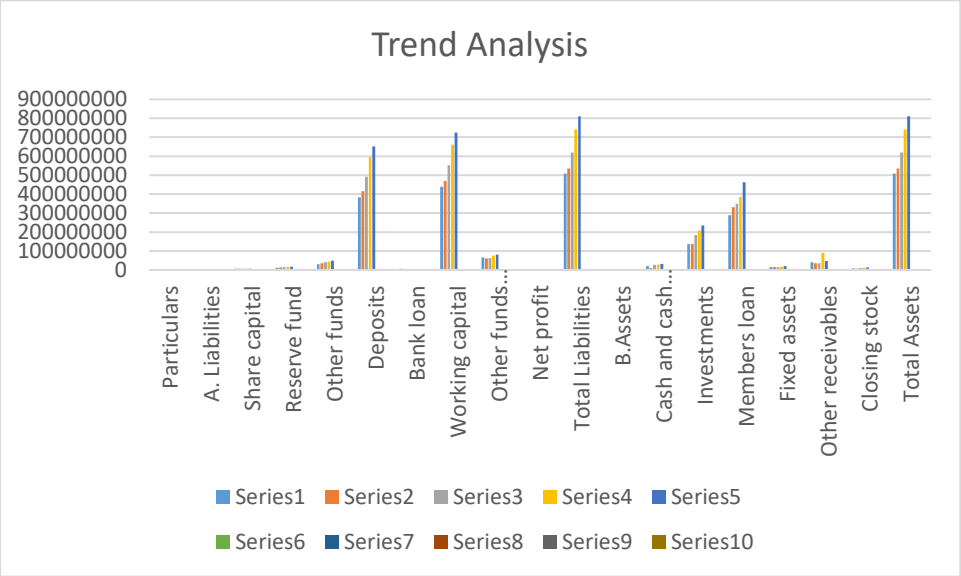
(6) Tabulate the trend ratios for analysis of trend over the selected period. The trend percentages are calculated for select major financial items in the financial statements to arrive at the conclusions for important changes. The trend may sometimes be affected by external factors like management policies, economic conditions, changes in income distribution, technology development, population growth, changes in tastes and habits etc. the trend analysis is a simple technique and does not involve tedious calculations.

Limitations: The analysis through trend ratios is subject to the following limitations:
- The trend ratios are incomparable, if there is inconsistency in accounting policies and practices.
-The price level changes are represented in trend ratios. The trend ratios must be studied along with absolute data for correct analysis.
- While analysing the trend ratios, non-financial data should also be considered; otherwise conclusions would be misleading.

Table 1.14 Showing the Trend Analysis

Particulars	**2018-2019**	**2019-2020**	**2020-2021**	**2021-2022**	**2022-2023**	2019	2020	2021	2022	2023
A. Liabilities										
Share capital	61,50,000	60,36,700	60,67,700	60,77,800	61,44,000	100	98.2	98.7	98.8	99.9
Reserve fund	1,20,03,525	1,34,92,050	1,47,32,420	1,59,85,897	1,72,50,970	100	112.4	122.7	133.2	143.7
Other funds	3,04,18,527	3,52,51,882	4,02,78,300	4,41,82,569	4,80,63,760	100	115.9	132.4	145.2	158.0
Deposits	38,29,27,109	41,53,03,163	49,13,48,216	59,45,97,702	65,24,13,236	100	108.5	128.3	155.3	170.4
Bank loan	68,84,597	95,838	0	0	0	100	1.4	0.0	0.0	0.0
Working capital	**43,83,83,758**	**47,01,79,633**	**55,24,26,636**	**66,08,43,968**	**72,38,71,966**	100	107.3	126.0	150.7	165.1
Other funds and payables	6,56,64,428	6,02,04,848	6,29,09,265	7,52,23,924	8,09,22,255	100	91.7	95.8	114.6	123.2
Net profit	48,09,777	49,61,480	50,13,906	50,60,292	52,14,899	100	103.2	104.2	105.2	108.4
Total Liabilities	50,88,57,963	53,53,45,961	62,03,49,807	74,11,28,184	81,00,09,120	100	105.2	121.9	145.6	159.2
B.Assets										
Cash and cash equivalent	2,06,60,513	1,05,81,441	2,69,08,358	2,90,88,376	3,20,79,600	100	51.2	130.2	140.8	155.3
Investments	13,73,05,507	13,72,75,160	18,43,59,266	20,76,35,358	23,48,59,866	100	100.0	134.3	151.2	171.0
Members loan	28,90,50,759	33,01,56,319	34,92,07,327	38,48,42,989	46,29,90,005	100	114.2	120.8	133.1	160.2
Fixed assets	1,45,13,512	1,46,99,880	1,51,05,150	1,74,46,203	2,04,73,998	100	101.3	104.1	120.2	141.1
Other receivables	3,97,80,881	3,56,55,327	3,49,89,515	8,99,77,799	4,68,11,496	100	89.6	88.0	226.2	117.7
Closing stock	75,46,790	69,77,835	97,80,192	1,21,37,458	1,27,94,556	100	92.5	129.6	160.8	169.5
Total Assets	**50,88,57,962**	**53,53,45,962**	**62,03,49,808**	**74,11,28,183**	**81,00,09,521**	**100**	**105.2**	**121.9**	**145.6**	**159.2**

Graph 2.7 Showing the Trend Analysis.



Interpretation: Trend analysis of the constituent elements of capital and assets shows an increasing trend in almost all the major elements except members' share capital. The overall working capital and overall asset increased to 165.10 and 159.20 respectively.

4.3 RATIO ANALYSIS

The term "Ratio" refers to the numerical or quantitative relationship between two items or variables, expressed in a simple mathematical form. In other words, a ratio is simply one number expressed in terms of another number to show the relationship between the two numbers or variables.

Ratio analysis is used to evaluate the relationships among financial statements items. In financial statements, ratio analysis focuses on three key aspects of a business: liquidity, profitability and solvency.

i. CURRENT RATIO

The current ratio is a measure of the society's short-term solvency. It indicates the availability of current asset in rupees for every rupee of current liability. A ratio greater than one means that the society has more current assets than current liabilities against them. As a conventional rule, a current ratio of 2:1 is considered satisfactory. The current ratio is calculated by dividing current assets by current liabilities.

Current assets = Cash and cash equivalent +other receivables+ stock

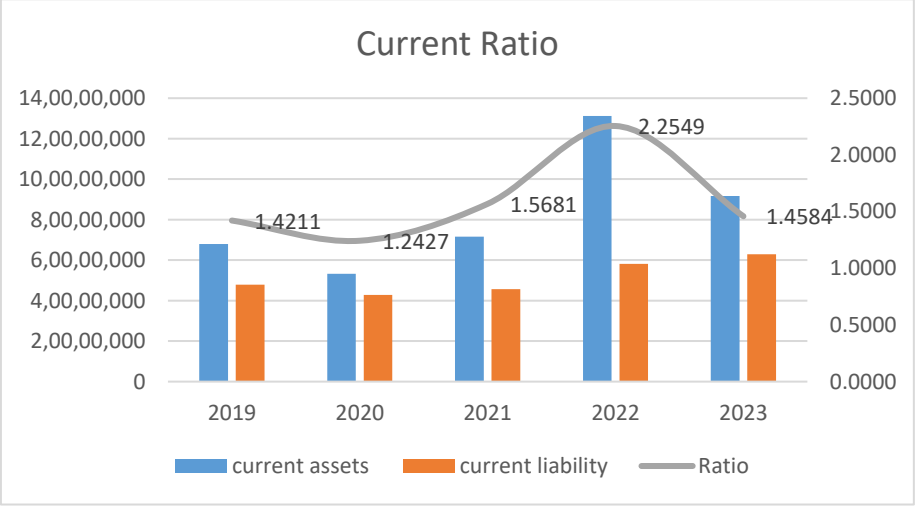
Current liability includes other payables as per balance sheet.

$$\text{Current Ratio} = \frac{\text{Current Assets}}{\text{Current Liabilities}}$$

Table 1.15 Showing Current Ratio

Year	Current Assets	Current Liability	Ratio
2019	6,79,88,184	4,78,43,226	1.4210
2020	5,32,14,603	4,28,23,281	1.2426
2021	7,16,78,065	4,57,10,622	1.5680
2022	13,12,03,633	5,81,86,254	2.2548
2023	9,16,85,652	6,28,69,269	1.4583

Graph 2.8 Showing Current ratio



Interpretation: The current ratio is less than two in four years out of the five years. In general, a ratio of nearly 02 is good, the ratio shown less than 2 is not satisfactory At the end of 2023, the ratio was 2.25 which was satisfactory.

ii. QUICK RATIO

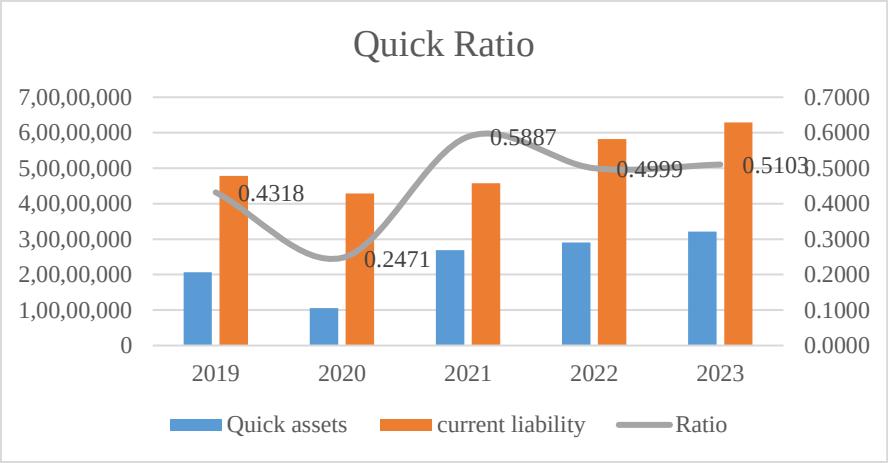
Quick ratio establishes a relationship between quick, or liquid, assets and current liabilities. An asset is said to be liquid it when can be converted into cash immediately Liquid assets include cash, cash equivalents, debtors, bills receivables. The quick ratio is found out by dividing quick assets by current liabilities. Quick assets are nothing but current assets minus inventory.

$$\text{Quick Ratio} = \frac{\text{Quick Asset (Cash and cash equivalent)}}{\text{Current liabilities}}$$

Table 1.16 Showing Quick Ratio

Year	Quick Assets	Current Liability	Ratio
2019	2,06,60,513	4,78,43,226	0.4318
2020	1,05,81,441	4,28,23,281	0.2470
2021	2,69,08,358	4,57,10,622	0.5886
2022	2,90,88,376	5,81,86,254	0.4999
2023	3,20,79,600	6,28,69,269	0.5102

Graph 2.9 Showing Quick Ratio



Interpretation: A positive quick ratio shows the availability of cash to meet the current liability. In the above table, quick ratio is positive for all the years and hence there is cash available for the day to day business.

iii. NET WORKING CAPITAL RATIO

The net working capital ratio is the net amount of all elements of working capital. It is intended to reveal whether a business has a sufficient amount of net funds available in the short term to stay in operation.

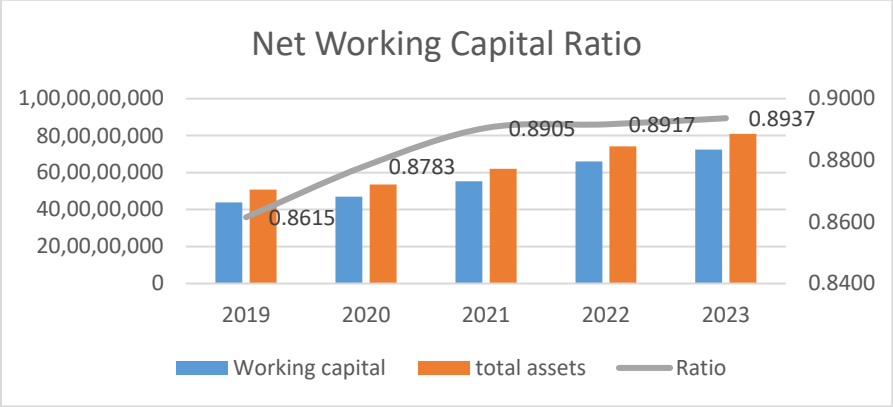
Net Working Capital Ratio = Net working capital (Working capital as per cooperative law)
Total Assets (excluding accumulated loss if any)

Table 1.17 Showing Net Working Capital Ratio

Year	Working capital	Total Assets	Ratio
2019	43,83,83,758	50,88,57,965	0.8615
2020	47,01,79,633	53,53,45,963	0.8782
2021	55,24,26,636	62,03,49,809	0.8905
2022	66,08,43,968	74,11,28,185	0.8916
2023	72,38,71,966	81,00,09,522	0.8936

Note: Working capital calculated as per cooperative method.

Graph 2.10 Showing Net Working Capital Ratio



Interpretation: The working capital is calculated as per the cooperative law. The ratio is taken against the total realisable assets. Therefore, this is the ratio between working capital and total assets except the factious assets. The ratio depicts the amount of working capital out of the total assets. For all the five years, the working capital ratio is positive which shows there is no depletion in the working capital.

iv. CASH RATIO

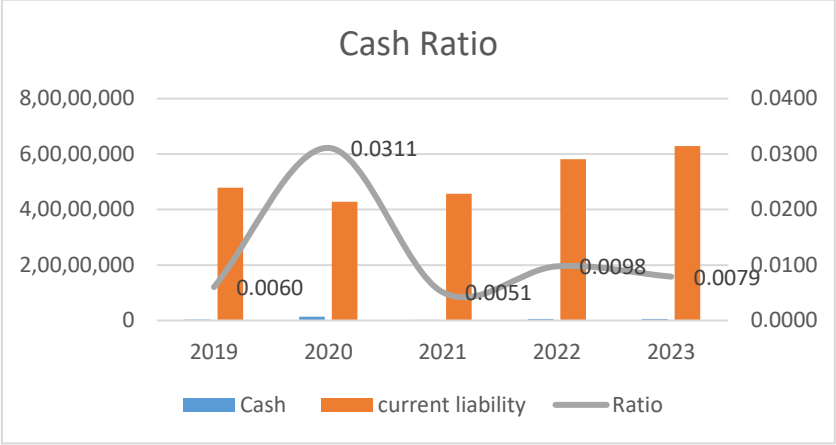
The cash ratio, sometimes referred to as the cash asset ratio, is a liquidity metric that indicates a society's capacity to pay off short-term debt obligations with its cash and cash equivalents. Compared to other liquidity ratios such as the current ratio and quick ratio, the cash ratio is a stricter, more conservative measure because only cash and cash equivalents are used in the calculation.

$$\text{Cash Ratio} = \frac{\text{Cash}}{\text{Current Liabilities}}$$

Table 1.18 Showing Cash Ratio

Year	Cash	Current Liability	Ratio
2019	2,87,974	4,78,43,226	0.0060
2020	13,32,745	4,28,23,281	0.0311
2021	2,33,482	4,57,10,622	0.0051
2022	5,68,468	5,81,86,254	0.0097
2023	4,96,821	6,28,69,269	0.0079

Graph 2.11 Showing Cash Ratio



Interpretation: Cash ratio is positive for all the years showing sufficient cash to meet the liability. Keeping more cash is not profitable but it is a statutory requirement to keep sufficient cash to meet the time and demand liability at any date.

v. GROSS PROFIT RATIO

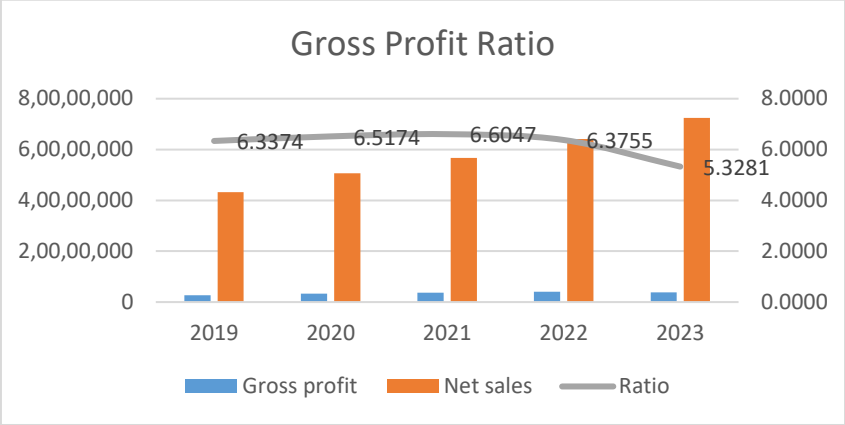
The Gross Profit Ratio is a measure of profitability that expresses the society's gross profit as a percentage of its total sales. In simpler terms, the ratio helps in knowing the profit that a company makes after deducting the direct costs and expenses. It is one of the most important profitability ratios used to evaluate a society's financial performance.

$$\text{Gross Profit Ratio} = \frac{\text{Gross profit}}{\text{Net Sales}} \times 100$$

Table 1.19 Showing Gross Profit Ratio

Year	Gross Profit	Net Sales	Ratio
2019	27,40,858	4,32,48,711	6.3374
2020	32,98,324	5,06,07,829	6.5174
2021	37,43,662	5,66,81,873	6.6046
2022	40,85,040	6,40,74,415	6.3754
2023	38,58,175	7,24,11,588	5.3281

Graph 2.12 Showing Gross Profit Ratio



Interpretation: The major operation of the society is to lend agriculture and non-agriculture loans and advances but the society also conducts trade business. The average sales for the five years is Rs.5.74 crores and the net sales is increasing year by year and it is 68% in five years. The gross profit is the amount of profit out of the trading activities. The average of the ratio of gross profit is around 06%. The ratio is steady in the period. The society makes a moderate profit from the trading business as the objective of the society is to provide grocery, fertilisers, seeds and other things at reasonable rate.

vi. NET PROFIT RATIO

This ratio is calculated to measure the operating efficiency of the society. Though management is interested in the profitability of the society, generally profitability ratios are calculated in relation to sales

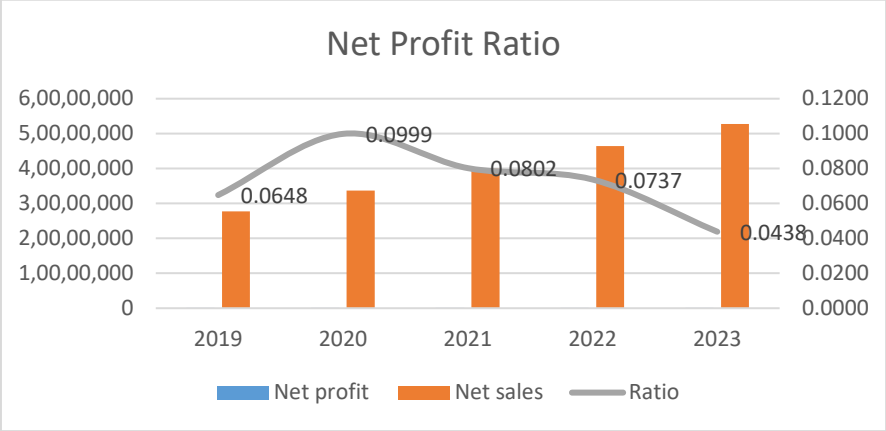
$$\text{Net Profit Ratio} = \frac{\text{Net profit}}{\text{Net sales}} \times 100$$

Table 1.20 Showing Net Profit Ratio

Year	Net Profit	Net Sales	Ratio
2019	17,948	2,77,02,458	0.0647
2020	33,663	3,37,12,861	0.0998
2021	32,057	3,99,48,579	0.0802
2022	34,243	4,64,53,214	0.0737
2023	23,097	5,27,22,234	0.0438

NOTE: Net Profit taken as per profit and loss account of trading section

Graph 2.13 Showing Net Profit Ratio



Interpretation: The average net profit ratio is 0.068% which is positive but very less. This is because the major salary expenses are charged to P&L account of the trading section. The net profit out of the credit business is not considered for this purpose.

vii. FIXED ASSETS TURNOVER (REVENUE) RATIO

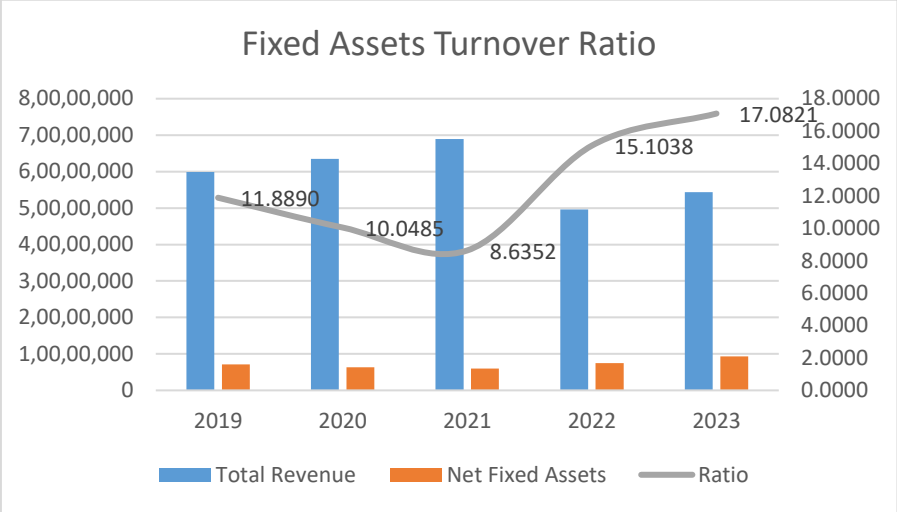
This ratio indicates the extent to which the investments in fixed assets contributed towards sales (Of course the sales business is secondary business of the society). If compared with a previous period, it indicates whether the investments in fixed assets has been judicious or not. The ratio calculated as follows:

$$\text{Fixed assets turnover ratio} = \frac{\text{Net Sales (total turnover)}}{\text{Net fixed assets(total fixed assets – depreciation)}}$$

Table 1.21 Showing Fixed Assets Turnover (Revenue) Ratio

Year	Total Revenue	Net Fixed Assets	Ratio
2019	5,98,59,641	71,16,685	11.8890
2020	6,34,59,057	63,76,659	10.0485
2021	6,89,30,613	59,52,315	8.6352
2022	4,96,12,210	74,93,324	15.1038
2023	5,43,70,423	92,87,593	17.0821

Graph 2.14 Showing Fixed Assets Turnover (Revenue) Ratio



Interpretation: The average ratio is around 7% which means the fixed assets are judiciously used for generating the revenue from the trading business. It should be noted that the main business of the society is providing the credit facilities to the members. Therefore, if we consider the total revenue generated from credit business and gross profit, then the average ratio is ---- which is considered satisfactory.

viii. ASSETS TURNOVER (REVENUE) RATIO

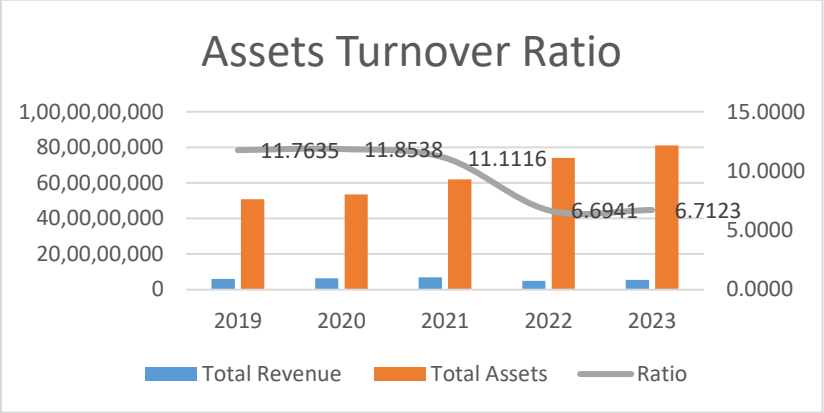
The asset turnover ratio measures the value of a society's sales or revenues relative to the value of its assets. The asset turnover ratio can be used as an indicator of the efficiency with which a society is using its assets to generate revenue. The higher the asset turnover ratio, the more efficient a society is generating revenue from its assets. Conversely, if a society has a low asset turnover ratio, it indicates it is not efficiently using its assets to generate sales.

$$\text{Assets turnover ratio} = \frac{\text{Total Revenue (Gross sales minus returns) or Net Revenue}}{\text{Total Assets}}$$

Table 1.22 Showing Assets Turnover (Revenue) Ratio

Year	Total Revenue	Total Assets	Ratio
2019	5,98,59,641	50,88,57,965	11.7635264
2020	6,34,59,057	53,53,45,963	11.8538406
2021	6,89,30,613	62,03,49,809	11.1115716
2022	4,96,12,210	74,11,28,185	6.69414698
2023	5,43,70,423	81,00,09,522	6.71231899

Graph 2.15 Showing Assets Turnover (Revenue) Ratio



Interpretation: There is a sudden decrease in the ratio during 2022 and 2023 due to reduction in revenue. As observed from the financial statement, there is a change in the accounting policy.

ix. ASSETS TO SALES RATIO

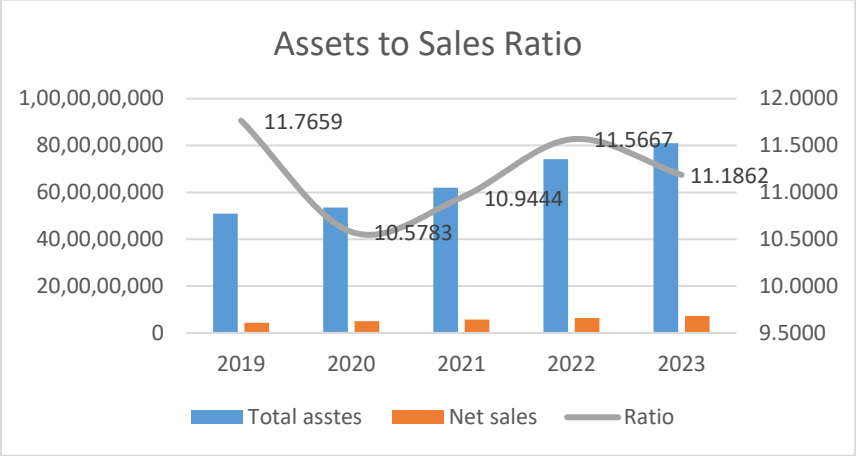
An assets to sales ratio formula calculates the total assets divided by total sales of the company. This ratio helps to determine the efficiency of a company in managing its assets to generate enough sales for the company to make the assets worthwhile.

$$\text{Assets turnover ratio} = \frac{\text{Total Assets}}{\text{Net Sales or Net Revenue}}$$

Table 1.23 Showing Assets to Sales Ratio

Year	Total Assets	Net Sales	Ratio
2019	50,88,57,965	4,32,48,711	11.7658
2020	53,53,45,963	5,06,07,829	10.5783
2021	62,03,49,809	5,66,81,873	10.9444
2022	74,11,28,185	6,40,74,415	11.5666
2023	81,00,09,522	7,24,11,588	11.1861

Graph 2.16 Showing Assets to Sales Ratio



Interpretation: The ratio between net sales and total fixed asset is positive and average ratio for the period is around 11% which is satisfactory.

X COST OF SALES RATIO

The Cost of sales ratio is a financial ratio that compares a society's expenses generated by sales activity to its revenue. Most people use the cost of sales ratio as a percentage. The cost of sales ratio may go by other names, including:

- Cost of goods sold ratio
- Cost of sales to revenue ratio
- Selling costs to sales ratio.

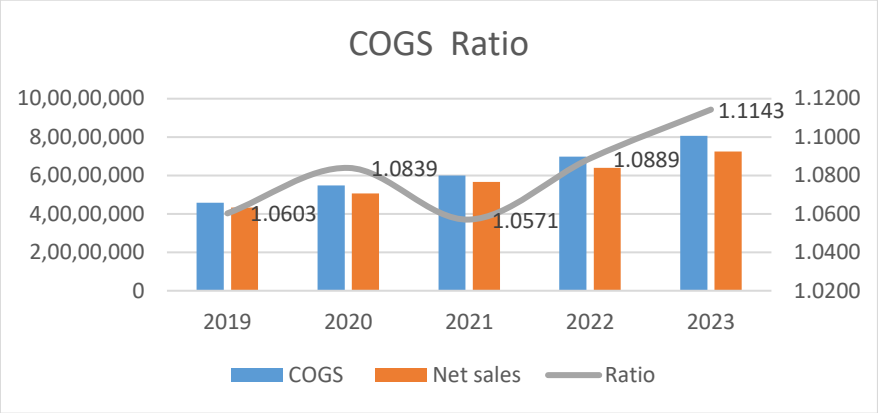
$$\text{Cost of Sales ratio} = \frac{\text{Cost of goods sold}}{\text{Net Sales}}$$

Table 1.24 Showing Calculation of Cost of Goods Sold Ratio

Year	Opening	Purchase+ Expenses	Closing	COGS
2019	53,47,925	4,79,89,122	74,81,270	4,58,55,777
2020	75,46,790	5,42,87,341	69,77,835	5,48,56,296
2021	69,77,835	6,27,18,404	97,80,192	5,99,16,047
2022	97,80,192	7,21,26,833	1,21,37,458	6,97,69,567
2023	1,21,37,458	8,13,47,968	1,27,94,556	8,06,90,870

Year	COGS	Net Sales	Ratio
2019	4,58,55,777	4,32,48,711	1.0602
2020	5,48,56,296	5,06,07,829	1.0839
2021	5,99,16,047	5,66,81,873	1.0570
2022	6,97,69,567	6,40,74,415	1.0888
2023	8,06,90,870	7,24,11,588	1.1143

Graph 2.17 Showing Cost Of Goods Sold Ratio



Xi DEBTS TO ASSETS RATIO

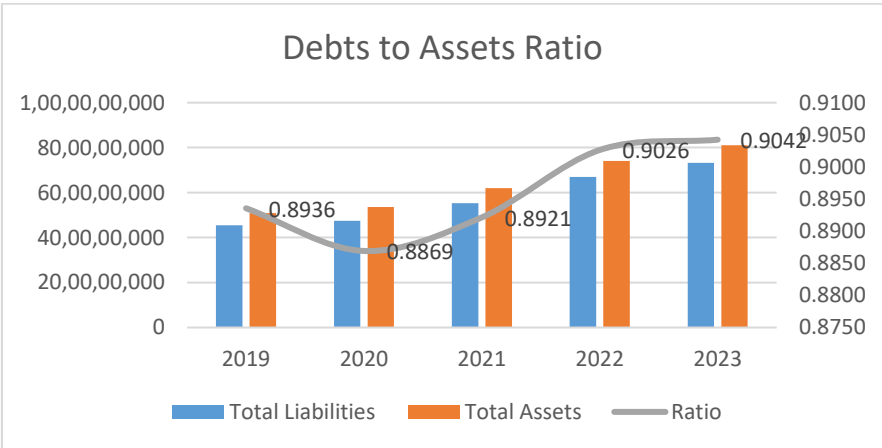
Total-debt-to-total-assets is a leverage ratio that defines how much debt a society owns compared to its assets. Using this metric, analysts can compare one company's leverage with that of other companies in the same sector. This information can reflect how financially stable a society is. The higher the ratio, the higher the degree of leverage (DoL) and, consequently, the higher the risk of investing in that society.

Debts to assets turnover ratio: $\frac{\text{Total Liabilities}}{\text{Total Assets}}$ **(**Debt is outside liability)

Table 1.25 Showing Calculation of Debts to Assets Ratio

Year	Total Liabilities	Total Assets	Ratio
2019	45,46,94,166	50,88,57,965	0.89355812
2020	47,48,05,882	53,53,45,963	0.8869141
2021	55,34,41,514	62,03,49,809	0.89214425
2022	66,89,69,659	74,11,28,185	0.90263692
2023	73,24,38,924	81,00,09,522	0.90423496

Graph 2.18 Showing Debts to Assets Ratio



Interpretation: The average debt to assets ratio is as low as 0.9%, showing low leverage, thereby showing the safety of members' investments in the society's business.

CHAPTER 5

CONCLUSION

Table 1.26 Showing Consolidated Ratios

Sl.no	Ratios	2018-2019	2019-2020	2020-2021	2021-2022	2022-2023
i.	Current Ratio	1.4210	1.2426	1.5680	2.2548	1.4583
ii.	Quick Ratio	0.4318	0.2470	0.5886	0.4999	0.5102
iii.	Net Working Capital Ratio	0.8615	0.8782	0.8905	0.8916	0.8936
iv.	Cash Ratio	0.0060	0.0311	0.0051	0.0097	0.0079
v.	Gross Profit Ratio	6.3374	6.5174	6.6046	6.3754	5.3281
vi.	Net Profit Ratio	0.0647	0.0998	0.0802	0.0737	0.0438
vii.	Fixed Assets Turnover Ratio	11.8890	10.0485	8.6352	15.1038	17.0821
viii.	Assets Turnover (Revenue) Ratio	11.7635264	11.8538406	11.1115716	6.69414698	6.71231899
ix.	Assets to Sales(Revenue) Ratio	11.7658	10.5783	10.9444	11.5666	11.1861
x.	Cost Of Goods Sold Ratio	1.0602	1.0839	1.0570	1.0888	1.1143
xi.	Debts to Assets Ratio	0.89355812	0.8869141	0.89214425	0.90263692	0.90423496

The Cooperative Sector has contributed a considerable share to the Indian Economy, especially in the agriculture and allied sector. Primary Agriculture Credit Societies are playing a crucial role in uplifting the rural economy, and especially the small and marginal farmers have been helped a lot as the cooperative societies effectively work in the rural area by promoting savings, self-help, and sustainable development. Accepting deposits, providing agricultural and non-agricultural credit and linking marketing with credit are the main services being given by these societies. For efficient operation, these societies have achieved remarkable progress in the collection of funds, distribution of credit, development of manpower and achieving reasonable professional managerial skill.

As depicted from the study of the financial performance of the cooperative society, it may be concluded that the ratios related to liquidity, solvency, fund position and profitability are showing a relatively strong financial position and an excellent performance. The financial ratios and the trends show that the society has shown a remarkable growth with respect to the collection of members' deposits and fulfilling all types of credit and other needs of the members. Operating in a village area, the society has succeeded not only in achieving its own objective but also in playing a crucial role in making rural economy a vibrant one besides facing various challenges.

The all-round financial growth and capacity to give multifaceted services to the members in particular and to the community at large, has undoubtedly established the fact that a rural cooperative society can play a decisive role in uplifting small and marginal farmers and farm labourers and in the sustainable growth of the rural economy.

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